

Zomato Food Delivery Experience — Product Management Assignment (CY2026)

Objective

As the Product Manager for Zomato food delivery experience in Tier-1 cities, the goal is to improve user engagement and retention across the complete customer journey:

Discovery → Order → Delivery

PART 1: DEFINE OKRs FOR CY2026

Visionary Objective (CY2026)

Increase user engagement and long-term retention by making Zomato the most personalized, frictionless, and reliable food delivery platform in Tier-1 cities.

North Star Metric (NSM)

Monthly Retained Ordering Users (MROU)

Definition:

Users who:

- Place at least 2 successful orders/month
- Receive orders on time
- Return the following month

Why this metric?

This combines:

- Engagement
- Ordering frequency
- Delivery quality
- Customer satisfaction
- Retention

Key Results (KR) for CY2026

KR1: Improve repeat ordering behavior

Target: Increase monthly repeat ordering users from 38% → 55%

KR2: Improve discovery-to-checkout conversion

Target: Increase overall funnel conversion from 8% → 13%

KR3: Improve delivery reliability

Target: Increase on-time delivery rate from 78% → 92%

KR4: Improve long-term retention

Target: Improve Day-90 retention from 18% → 30%

KR1: Improve Repeat Ordering Behavior

Product Initiative 1: AI-Powered Personalized Recommendations

Features:

- Personalized restaurant feed
- Cuisine recommendations
- Smart reorder widgets
- Time-based suggestions

Metric Ladder

Input Metrics:

- Recommendation relevance score
- Personalized impressions served
- User preference signals captured

Output Metrics:

- Recommendation CTR
- Restaurant page visits
- Add-to-cart conversion
- Repeat orders from recommendations

North Star Contribution:

Increase Monthly Retained Ordering Users

Product Initiative 2: Habit Formation Engine

Features:

- Meal reminders
- Smart reorder nudges

- Ordering streaks
- Scheduled ordering

Metric Ladder

Input Metrics:

- Notifications sent
- Reminder personalization score
- Reorder suggestions generated

Output Metrics:

- Notification open rate
- Reorder conversion rate
- Orders per active user
- Weekly ordering frequency

North Star Contribution:

Increase repeat ordering frequency and retention

KR2: Improve Discovery-to-Checkout Conversion

Product Initiative 1: Smarter Discovery Experience

Features:

- AI-powered search
- Better filters
- Trending dishes
- Dynamic cuisine ranking

Metric Ladder

Input Metrics:

- Search latency
- Recommendation relevance
- Search quality score

Output Metrics:

- Search-to-menu CTR
- Menu engagement time
- Add-to-cart conversion

North Star Contribution:

Higher order conversion and engagement

Product Initiative 2: Frictionless Checkout

Features:

- One-click checkout
- Auto coupon application
- Saved payment methods
- Transparent pricing

Metric Ladder

Input Metrics:

- Checkout load time
- Coupon auto-detection accuracy
- Payment gateway success rate

Output Metrics:

- Cart abandonment rate
- Checkout completion rate
- Payment success rate
- Time-to-complete order

North Star Contribution:

Increase successful transactions and reduce drop-offs

KR3: Improve Delivery Reliability

Product Initiative 1: Predictive Delivery Intelligence

Features:

- Accurate ETA prediction
- Smart rider routing
- Delay alerts
- Restaurant prep-time forecasting

Metric Ladder

Input Metrics:

- Rider allocation efficiency

- ETA prediction accuracy
- Traffic prediction accuracy

Output Metrics:

- On-time delivery %
- Average delay minutes
- Support tickets/order
- Cancellation rate

North Star Contribution:

Improve customer trust and retention

Product Initiative 2: Post-Delivery Experience Optimization

Features:

- Easy issue resolution
- Quick refunds
- Smart support chatbot
- Feedback prompts

Metric Ladder

Input Metrics:

- Support response time
- Resolution automation %
- Feedback requests sent

Output Metrics:

- CSAT score
- Complaint resolution rate
- Repeat orders after issue resolution

North Star Contribution:

Improve customer loyalty and retention

KR4: Improve Long-Term Retention

Product Initiative 1: Loyalty & Subscription Expansion

Features:

- Enhanced Gold membership
- Personalized rewards
- Free delivery benefits
- Exclusive offers

Metric Ladder

Input Metrics:

- Loyalty offers shown
- Subscription trials activated
- Reward redemption availability

Output Metrics:

- Gold conversion rate
- Renewal rate
- Monthly order frequency
- Customer LTV

North Star Contribution:

Improve long-term retention and engagement

Product Initiative 2: First 30-Day User Activation

Features:

- First-order incentives
- Guided onboarding
- Curated collections
- Trust badges

Metric Ladder

Input Metrics:

- Onboarding completion rate
- Incentive redemption %
- New-user engagement events

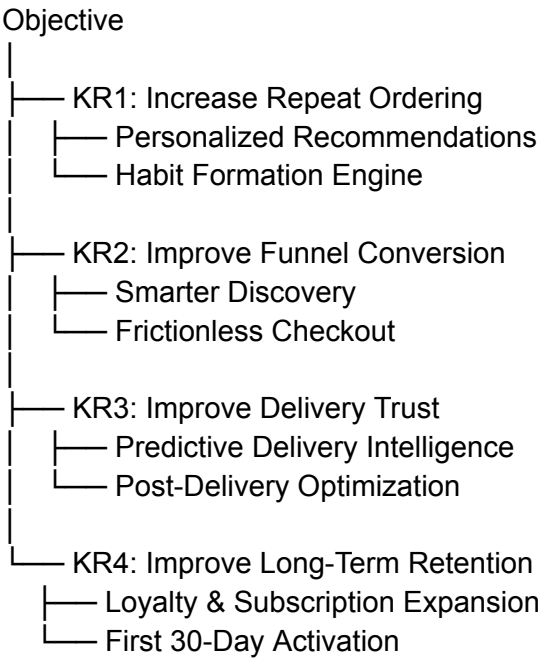
Output Metrics:

- First-week order frequency
- Day-30 retention
- Second-order conversion

North Star Contribution:

Improve habit formation among new users

Final OKR Hierarchy



PART 2: FUNNEL ANALYSIS

Food Delivery Funnel

1. App Open
2. Restaurant Discovery
3. Menu View
4. Cart Creation
5. Checkout
6. Order Placed
7. Order Delivered

Funnel Analysis Table

Stage: App Open
Drop-off Point:

Users leave homepage quickly

Reason:

Poor personalization or irrelevant content

Hypothesis:

Personalized homepage based on user behavior and time

Stage: Restaurant Discovery

Drop-off Point:

Users don't click restaurants

Reason:

Too many choices and poor ranking

Hypothesis:

AI-powered personalized restaurant ranking

Stage: Menu View

Drop-off Point:

Users don't add items to cart

Reason:

Decision fatigue and unclear pricing

Hypothesis:

Highlight "Most Ordered" dishes and combos

Stage: Cart Creation

Drop-off Point:

Users abandon cart

Reason:

High delivery fees or coupon hunting

Hypothesis:

Auto-apply best coupons and transparent pricing

Stage: Checkout
Drop-off Point:
Payment abandonment

Reason:
Payment failures and hidden fees

Hypothesis:
One-click checkout with saved UPI/payment methods

Stage: Order Placed
Drop-off Point:
Users cancel order

Reason:
Long ETA or sudden delays

Hypothesis:
Predictive ETA accuracy and live updates

Stage: Order Delivered
Drop-off Point:
Users don't reorder

Reason:
Poor delivery experience or inconsistent quality

Hypothesis:
Post-delivery feedback loop with recovery offers

Funnel Visualization

App Open
↓
Restaurant Discovery
↓

Menu View



Cart Creation



Checkout



Order Placed



Order Delivered



Repeat Order / Retention

Key Funnel Insights

Biggest Drop-off Area:

Menu View → Cart Creation

Reason:

- Users struggle to decide what to order
- Too many menu options
- Lack of trust signals

Opportunity:

Improving menu-to-cart conversion can significantly improve:

- GMV
- Order frequency
- Retention

Checkout is the Highest Friction Stage

Main Problems:

- Coupon hunting
- Payment failures
- Hidden fees

High-Impact Fix:

One-click checkout + auto couponing

Delivery Experience Directly Impacts Retention

Observation:

Users with delayed or poor delivery experiences are less likely to reorder.

Strategic Learning:

Delivery reliability is a retention problem, not just an operations problem.

Final Recommendation

To win in Tier-1 cities, Zomato should focus on:

1. Hyper-personalized discovery
2. Frictionless checkout experiences
3. Reliable and predictable delivery
4. Habit formation and loyalty programs

The long-term strategy should shift from:

“Maximizing transactions”

to

“Building long-term ordering habits and customer trust.”